

24SMCV00651 24SMCV00651

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Case Number: 24SMCV00651 Hearing Date: July 1, 2026 Dept: M

CASE NAME: Shen, et al.,

v. Li, et al.

CASE NO.: 24SMCV00651

MOTION: Motion

to Compel Compliance

HEARING DATE: 7/1/2026

Legal

Standard

Under Code of Civil Procedure ("CCP") section 1987.1(a), "If a subpoena requires ... the production of ... documents, [or] electronically stored information ..., the court, upon motion reasonably made by any person [including a party] ... may make an order quashing the subpoena entirely, modifying it, or directing compliance with it upon those terms or conditions as the court shall declare, including protective orders." The court may also "make any other order as may be appropriate to protect the person from unreasonable or oppressive demands, including unreasonable violations of the right of privacy of the person." (CCP § 1987.1(a).)

Sanctions are available under both CCP § 1987.2 and CCP § 2025.480(j). CCP § 1987.2 states: "[T]he court may in its discretion award the amount of the reasonable expenses incurred in making or opposing the motion, including reasonable attorney's fees, if the court finds the motion was made or opposed in bad faith or without substantial justification . . ." CCP §

2025.480(j) states: "The court shall impose a monetary sanction under Chapter 7 (commencing with Section 2023.010) against any party, person, or attorney who unsuccessfully makes or opposes a motion to compel an answer or production, unless it finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust." CCP § 2020.240, "[a] deponent who disobeys a deposition subpoena in any manner described in subdivision (c) of Section 2020.220 may be punished for contempt under Chapter 7 (commencing with Section 2023.010) without the necessity of a prior order of court directing compliance by the witness. The deponent is also subject to the forfeiture and the payment of damages set forth in Section 1992."

ANALYSIS

Plaintiffs/Cross-Defendants Jinwan Shen and Da Bai Niu move to compel production of records held by Cathay Bank, a third-party custodian of records, of nonparty Byang LLC pursuant to a lawfully served Third-Party Business Records. Plaintiffs further request sanctions against the objectors, Byang LLC in the sum of \$4,560.00.

Request
for Judicial Notice

Plaintiff's request for judicial
notice is GRANTED.

Subject Subpoena

The Cathay Subpoena seeks the
following categories of documents:

RE:

Byang LLC, a California Limited Liability Company with State of California Entity No. 202565813539, from January 1, 2025, to the present. All Documents as defined under the Evidence Code 250, relating to, including but not limited to:

1. all account opening statements, signature cards, account statements, canceled checks, deposit slips, withdrawal slips, wire transfers, wire memos, and debit memos, loans, financing, and lines of credit, query result reports;

2. all credit card records, records of payments made by a credit card, credit card details listing all cardholders, account holders, credit card users, co-signors and/or guarantors, credit card account statements, credit card fees, credit card purchase history, credit card purchase information, credit card application(s), credit card report(s), guarantee agreement(s), background investigation(s) conducted, and bank teller journals, bank teller ledgers, correspondence, and fraud monitoring records;

3. all fiat and cryptocurrency transaction histories; all blockchain transaction hashes and associated metadata; all internal wallet addresses; all external wallet addresses used by the customer; all fiat deposit and withdrawal records including ACH, wire, debit card, and credit card transactions; all information relating to linked bank accounts including routing numbers, account numbers, and any ACH return codes; all IP logs, device logs, browser fingerprints, login and logout timestamps; all records of account access events, and other security-related events; and

4. all electronically stored information (ESI) including but not limited to emails, and other forms of electronically stored information.

In summary, the Subpoena seeks Cathay Bank records concerning third-party Byang LLC from January 1, 2025 to the present, including transfers totaling \$1.3M from Defendant Digital Horizon Ventures Inc. to Byang LLC, via Cathay Bank. Plaintiffs show good cause for ordering production by demonstrating that the banking records will evidence how Defendants dissipated funds pursuant to their scheme to defraud.

Here, Plaintiffs allege that Defendants Lingxiao Li, Yaojun Kou, and Defendant Kou's entities, including Primepeak Investments Inc. and Digital Horizon, diverted Plaintiffs' assets and proceeds from the Milliken Ave. Warehouse (1890 S. Milliken Ave., Ontario, CA 91761) sale, a property purchased with Plaintiffs' funds. Plaintiffs put forth evidence that Primepeak purchased and flipped the Milliken Ave. Warehouse, and received \$4,504,770.06 in sale proceeds, of which at least \$2.0M of those funds were transferred to Digital Horizon on or about April 30, 2024. (SAC ¶¶ 166, 533–534.) Digital Horizon then used \$862,554.53 of that \$2.0M to purchase and flip the 7710 Bluebell Avenue property in Los Angeles on or about May 30, 2024, and January 7, 2025, respectively. Thereafter, Digital Horizon transferred \$1,300,000.00 in

funds to Byang LLC through Cathay Bank. (Reddy Decl., ¶¶ 11-13, 16, Ex. 6, pp. 1, 3, 7; Ex. 7, pp. 1, 4; Ex. 8, p. 1; Ex. 11, pp. 1–2, 7.)

On April 6, 2026, Plaintiffs issued the subject subpoena to Cathay Bank, seeking third-party Byang LLC's bank records from January 1, 2025, to the present in order to trace Defendant Digital Horizon's March 2025 transfers of sales proceeds from the 7710 Bluebell Avenue property. Plaintiffs simultaneously served a Notice to Consumer or Employee on Byang LLC, and thereafter personally served the Subpoena on Cathay Bank's Custodian of Records on April 20, 2026. (Reddy Decl., ¶ 5; Ex. 1.) Responses were due on May 6, 2026.

Byang LLC objects to the subpoena on several grounds. For instance, Byang argues that the subpoena is moot based upon its claim has a borrower/lender relationship with Digital Horizon and the funds were part of a repayment.

Byang's claim, however, does not negate Plaintiffs ability to test that theory with its subpoena. Otherwise, the significant relevance of the banking records overrides Byang's corporate privacy interest. Plaintiffs therefore do not need to establish direct relevance, essential need, or that they explored less intrusive forms of discovery. (See *Hecht, Solberg, Robinson, Goldberg & Bagley v. Superior Court* (2006) 137 Cal.App.4th 579, 594-595 [because the corporate privacy right is not constitutionally protected, the issue presented in determining whether the requests for production infringe that right is resolved by a simple balancing test].) Moreover, there is an existing protective order and the production can be made pursuant to that order's terms.

As to privilege and work product, Byan fails to provide sufficient evidence supporting those objections and failed. (CCP § 2031.240(c)(1).) Byang LLC has provided no factual information, no privilege log, and no identification of any specific privileged communication or document to support its blanket assertion that the Subpoena seeks privileged material. (Reddy Decl., ¶ 6, Ex. 2, p. 3:1–7.) Similarly, as to trade secrets, proprietary information, and business confidentiality, Byang also fails to meet their burden of establishing their existence so that the burden would be shifted to Plaintiffs. Therefore, the objections are without merit.

Accordingly, the motion is GRANTED. Sanctions are imposed in the reduced total amount of \$1,800.00 against Byang. Sanctions are

to be paid to Plaintiffs' counsel of record within 30 days, and documents are to be produced within 45 days.